TAX

Modern economics ***defines*** tax as a mode of income redistribution.[1] There might be other ways also to look at it—the usual meaning of tax people think is that a tax is imposed by the government to fulfill its important obligations on the expenditure front.[2] We may take an example to see how taxes redistribute income:

Suppose an economy has a flat rate of income tax, i.e., 30 per cent. Just see the impact of this tax on the income disparity of two people A and B earning Rs. 50,000 and Rs. 80,000, respectively—

We see here that the income disparity of ‘30,000 comes down to Rs. 19,000 after payment of the tax—the income has been re-distributed at the *first* level due to tax.

Individual	*Income*	*Income disparity before*	*Income after paying*	*Income disparity after*
	(Rs.)	tax (Rs.)	tax (Rs.)	tax (Rs.)
A	50,000		35,000	
		30,000		19,000
B	80,000		54,000	

Now the money the government has got by tax collection, i.e., Rs. 39,000 (Rs.15,000 + Rs. 24,000)

Now the money the government has got by tax collection, i.e., Rs. 39,000 (Rs. 15,000 + Rs. 24,000) will be spent on different sectors—infrastructure, education, health etc—which will provide services to each and everybody alike. Here income is re-distributed at the *secondary* level. Consider a person who pays income tax, but does not take services of government schools for his children’s education, nor goes to the government hospitals for medical services and compare him with a person who has no option other than the government schools and the hospitals—the higher tax payer getting no government services and a lower tax payer getting all the services. Here income looks re-distributed from the consumption side.